Educational Policy: Risk-Based Pricing & Escalation Policy

Section 1: Risk Categorization & Approval Matrix

1.1 LOW Risk (ML Default Prob < 15%): Automated instant APPROVE provided all hard policy rules are satisfied.

1.2 MODERATE Risk (ML Default Prob 15% - 35%): Standard approval with regular underwriting review.

1.3 HIGH Risk (ML Default Prob 35% - 60%): Requires MANUAL_REVIEW by Credit Risk Manager.

1.4 VERY HIGH Risk (ML Default Prob > 60%): Mandatory DECLINE.